Mixed-Use Capital Is Betting on Experience, Not Just Rent

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THE NEWS

Four New Tenants Sign at Tuscan Village Near Boston

Whole Foods, Free People, Life Time Fitness, and a local restaurant group have committed to the 170-acre mixed-use development in Salem, New Hampshire.

The project already includes 1,200 residential units and a hotel. This round adds 200,000 square feet of retail and wellness space.

SIGNIFICANCE

This Leasing Round Is a Signal for Mixed-Use Underwriting

A useful way to think about this is: lenders are no longer underwriting retail based on rent per square foot alone.

They're underwriting foot traffic, dwell time, and the quality of the experience. Tuscan Village proves that institutional capital will back projects that deliver those metrics.

CAPITAL MARKETS ANGLE

Debt and Equity Are Flowing to Projects With Proven Demand

The simple version is: construction financing for mixed-use has been hard to get since 2023.

But Tuscan Village's leasing velocity-anchored by Whole Foods and Life Time-gives lenders confidence that the project will generate stable cash flow. That's what unlocks capital for phase two and three.

THE REAL QUESTION

How Do You Underwrite a Project That Sells a Lifestyle, Not Just Square Footage?

The developer is solving a capital markets problem: how to finance a project where the value comes from the mix of uses, not any single tenant.

Lenders want to see that the residential, retail, and hospitality pieces reinforce each other. Tuscan Village's leasing data makes that case.

WHO CARES?

Three Groups Are Watching This Deal Closely

* Sponsors: It shows that mixed-use projects with strong leasing can still get construction financing.

* Lenders: It offers a template for underwriting experiential retail as a credit-positive anchor.

* Investors: It suggests that capital is rotating toward projects with higher tenant quality and longer-term demand.

MARKET CONTEXT

This Is Part of a Broader Shift Toward Experiential Mixed-Use

Across the country, we're seeing the same pattern: retail is no longer just about selling goods. It's about creating a destination.

Projects that combine grocery, fitness, fashion, and hospitality are attracting both tenants and capital. Tuscan Village is a clear example of this trend in action.

FORWARD LENS

What to Watch: Leasing Velocity and Construction Financing

The key metric is how quickly the remaining retail space leases up. That will determine whether the next phase gets financed.

Also watch for similar deals in secondary markets near major metros. If Tuscan Village works, more capital will follow the same playbook.

THE LESSON

In Mixed-Use, the Experience Is the Asset

The best capital strategies today are built around real demand-not just rent rolls.

At Light Tower Group, we help sponsors and lenders navigate these shifts. If you're underwriting or financing a mixed-use project, we can help you structure the capital to match the vision.

Connect with Benjamin Rohr for capital strategy and placement.